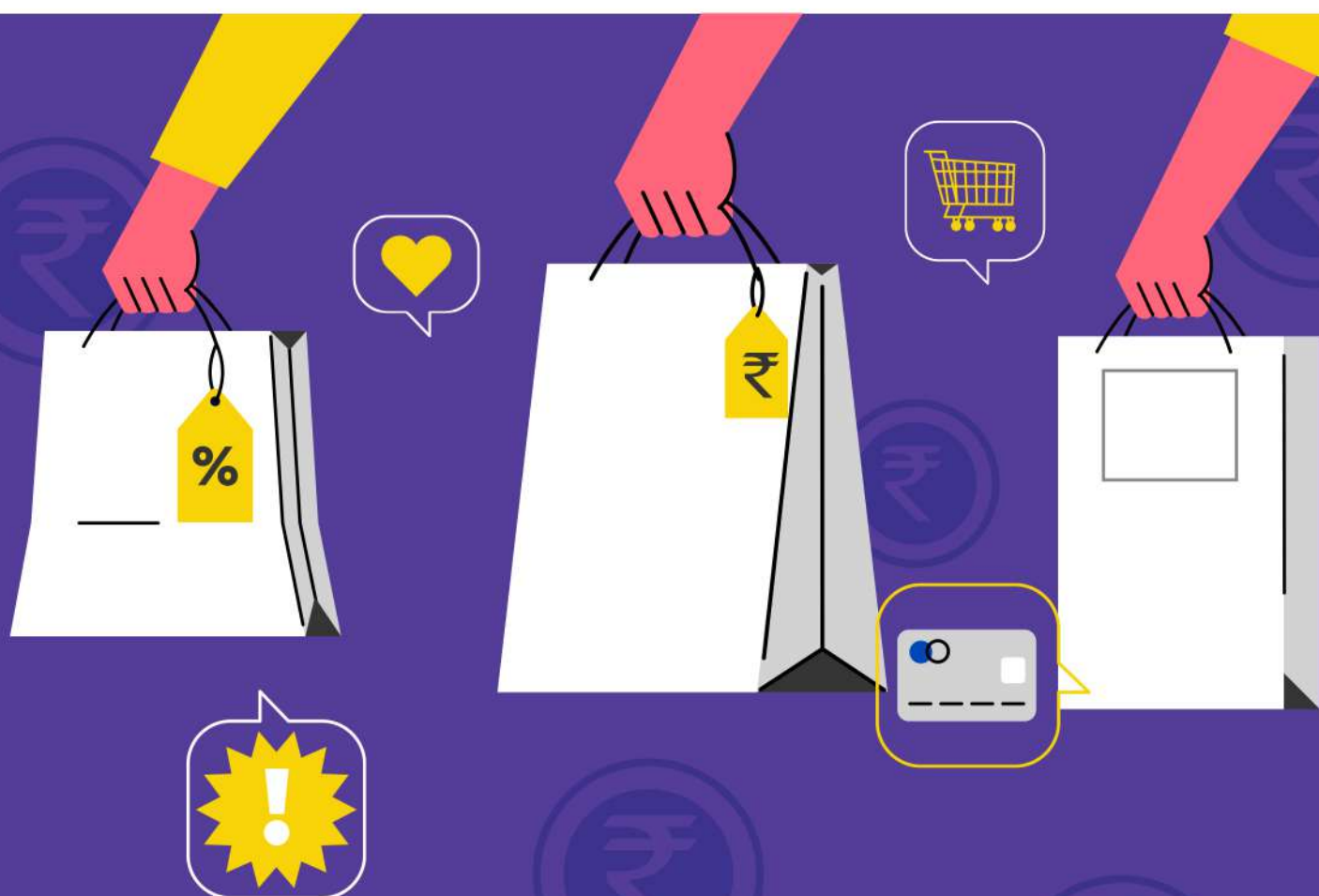


HOW COVID HAS CHANGED CONSUMER BEHAVIOUR



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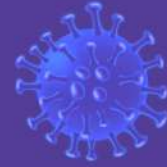
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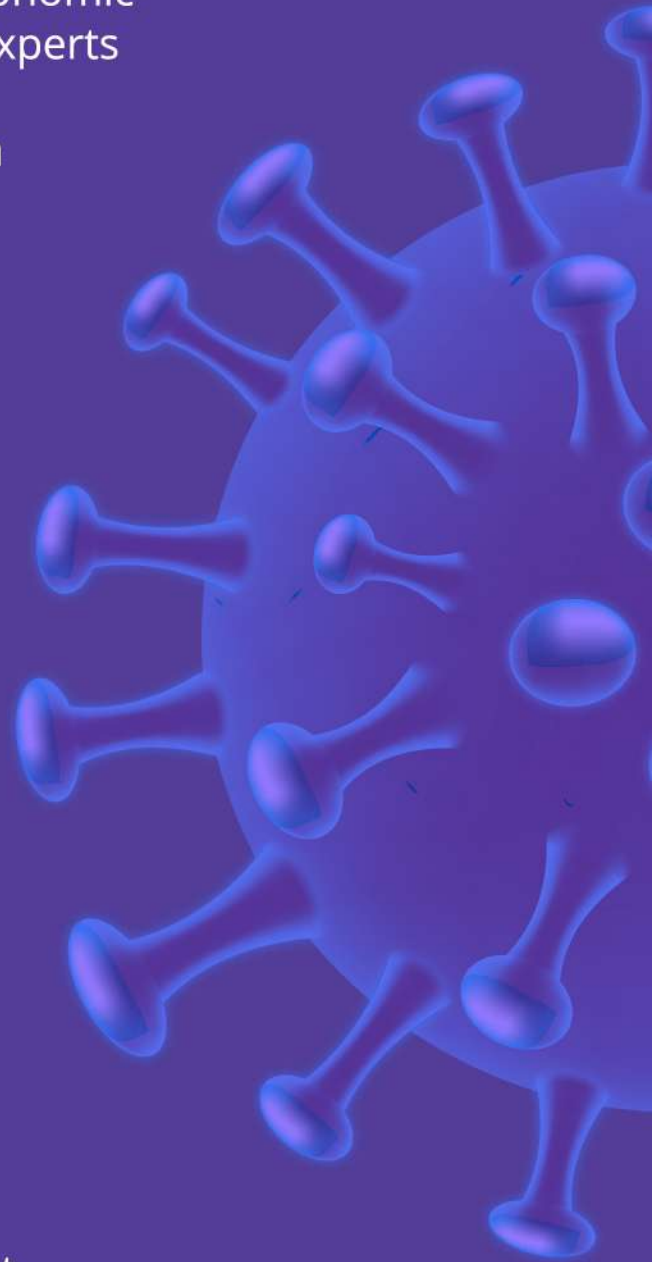
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FOREWORD



The year 2020 was hard for everyone with the pandemic. The aftermath of Covid19 has been devastating. It was a double whammy; public health and economic crisis affected everyone globally. Many experts state that it will take years to rebuild countries and economies that have been hit by one of the worse recessions in years. Much of what we went through in 2020 has been carried over in 2021, although we are slowly inching towards recovery. Nonetheless, the pandemic has left far-reaching changes in every domain of our lives.

The Covid19 crisis has been a major driver in consumer behavioral changes. One of the most notable changes has been the clamor for digital media consumption. With lockdown measures in place and people self-isolating in their homes, the demand for digital content grew many folds over the past couple of years. Consumers became more active online. It became imperative for brands to be part of the digital bandwagon. Those who resisted ended up losing out on major opportunities. The question is: will this increased utilization of digital avenues persist?



To answer that question, it is essential to understand that pre-pandemic consumers are no longer the same. Consumer behavior is evolving with their needs changing. This includes how consumers shop, what they buy, how they consume entertainment and information in new ways, their newer priorities and concerns about what matters, and increased expectations regarding the kind of customer experience brands offer.

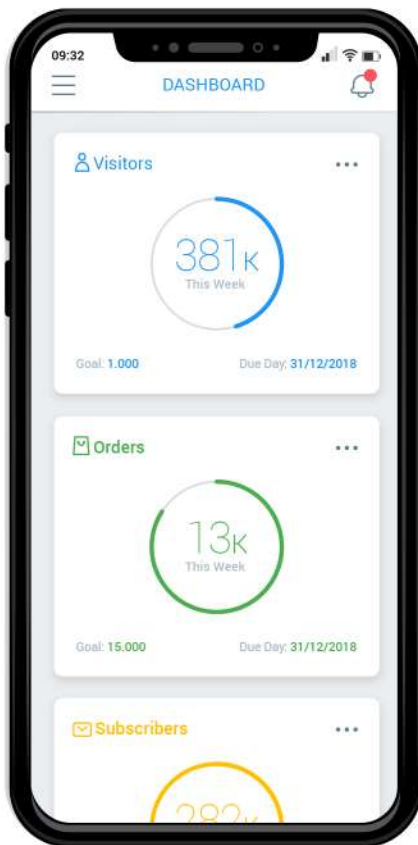


In a nutshell, consumer behavior has undergone significant changes. Most of these key behaviors will continue to stick leading to the next-new normal. The virus has reshaped consumer behavior accelerating long-term underlying trends in the marketing and sales domain. It is up to brands now how they prepare for this wave of change.



INTRODUCTION

In 2021, the effects of the pandemic have slightly begun to recede in certain economies, while many others are still on the recovery path. In the past two years, almost all sectors suffered a dent in their performance including the marketing and sales industry.



We have observed that the ushering of tremendous digital transformation brought about by the pandemic led many organizations to ramp up their marketing and communication strategies through social media and other digital channels. This digital transformation has been the result of a huge increase in the number of internet and mobile device users.

Right now, there are 5.29 billion unique mobile users and 4.88 billion internet users globally. We have seen more and more consumers are now online. Thus, it is essential to understand how the effects of the pandemic on the human psyche along with the increased use of digital platforms have led to major shifts in consumer behavior.

Based on data collated from several websites, research papers, and reports, we have put together comprehensive information on consumer behavior trends that occurred during the pandemic and the ones that are expected to stick.

Read on to learn more through data and statistics on how Covid19 has impacted consumer behavior to understand consumer expectations in the current scenario.

HOW CONSUMER BEHAVIOR SHIFTED DURING COVID19

With the world slowly emerging from the Covid19 crisis, the process of reopening and recovery of economies have steadily begun. However, it is essential to note the profound impact the pandemic had on consumer lifestyle and preferences. This has invariably affected the marketing and sales industry.

The long period of isolation and economic uncertainty in the past two years have changed how consumers behave; a lot of these changes, specifically in the digital space, are predicted to stick in the future. These new consumer behavioral trends span across all aspects of life from shopping, entertainment, learning, work, and even health services.

These rapid shifts have had critical implications on how organizations communicate across the consumer journey funnel. With consumer presence across digital domains increasing rapidly, retailers and service providers across sectors are compelled to pursue digital marketing and advertising with increased vigor. Resistance to digital presence, to say the least, is futile since many of these long-term consumer behaviors are still in their formative phases. This gives organizations a major opportunity to help shape their digital campaigns.

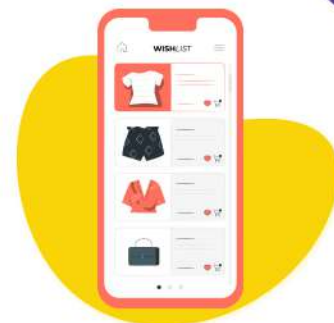
CONSUMER BEHAVIOR SHIFTS ACROSS MAJOR SPHERES OF LIFE



Learning:
From classroom
to online



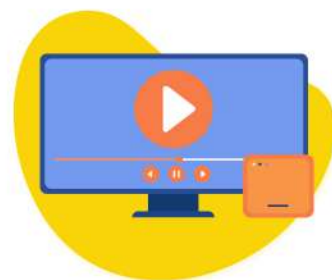
Work:
From in-office
to work from home



Shopping:
From
brick-and-mortar
to online shopping



Communication:
From in-person
to digital



Entertainment:
From cinema to
streaming



Travel:
From international
to domestic



Health:
From personal
visits to telehealth
services

THE REPORT:

Key trends in consumer behavior during the pandemic



58 %

**of US consumers
spent more money
online**

A survey conducted towards the end of 2020 indicated increased digital adoption among consumers. This behavioral trend has been reflected in the increased online spending and app downloads for various purposes. Nearly 58% of consumers in the US spent more money online on digital streaming service subscriptions and online shopping. Moreover, app downloads for grocery, business, and video conferencing increased steadily.

With the surge in the pandemic in 2020, there have been massive changes in mobility patterns. Due to stringent international travel restrictions, air travel was significantly affected. A decline of nearly 46.3% year-on-year has been observed in global flight frequency. In addition, there was reduced use of public transport at the local level due to safety and hygiene concerns among consumers.



46.3%

**decline in global
flight frequency**



94 %

of new digital service users intend to continue with the service

Covid19 has made long-term impacts on consumer purchasing behavior. In a survey, approximately 94% of new digital service users in Southeast Asia have shown high intent to continue doing so. In addition, more consumers are shifting towards brand websites for shopping for an immersive experience. More consumers prefer using websites that are easy to navigate and have clear product specs in the form of photos or videos.

The severe effects of Covid19 have led to increased awareness regarding health and wellbeing among consumers. In 2020, it was predicted that the number of online users of fitness apps would increase by 25% y-o-y to 826 million worldwide, rising to nearly one billion users by 2024. Similarly, it has been predicted that the number of users of wearables will also increase steadily.



25%

y-o-y increment in the number of online fitness app users

PRIMARY CONSUMER BEHAVIORAL CHANGES EXPECTED TO STICK DURING COVID19 ERA



INCREASED FOCUS ON HEALTH

Anything related to health and hygiene is now going to be a top priority for consumers. Consumers began to invest in themselves and their better health.

Based on a Covid19 consumer research study conducted by Accenture in April 2020,

59% to 60 %



of consumers stated that they are going to make purchases more health consciously.

Furthermore, a PwC Survey of 1600+ adults indicated that

48% of participants intend to stick with their newly acquired

health and wellness habits in the long term. With consumers' focus on a healthy lifestyle, it is imperative for all brands including those that are not in the healthcare space to make health-based decisions.



INCREASE IN CONSCIOUS CONSUMPTION

With repercussions of the pandemic being felt everywhere, a large group of consumers is now highly aware of the environmental impact of the choices they make. Moreover, many are concerned about climate change as well. Consumers are becoming more mindful of what they're buying. They have ethical concerns about business practices. This has led many to put greater emphasis on conscious consumption and avoidance of wastage.

For instance, about

68%

of people in the study conducted by Accenture are highly concerned about limiting food wastage.



INCREASED AFFINITY FOR LOCAL BRANDS

Nearly **44% to 46%**



of consumers decided to shop in closer neighborhood stores during the pandemic. This preference for shopping

local extended to seeking services and products from brands closer to home. An increasing number of consumers began to consciously support local stores and brands as Covid19 negatively impacted homegrown businesses. This consumer habit is expected to stick as consumers indicating an increased affinity for brands and services with local appeal in the future.



MAKE SUSTAINABLE CHOICES

About

54 %

of participants in Accenture's Covid19 Consumer Research Study indicated that they intend to make more sustainable choices. Consumers now realize the impact they can make with their choices when it comes to picking a brand for a product or a service. Thus, brands need to focus on larger fundamental changes in their messaging to keep up with this new consumer behavior.

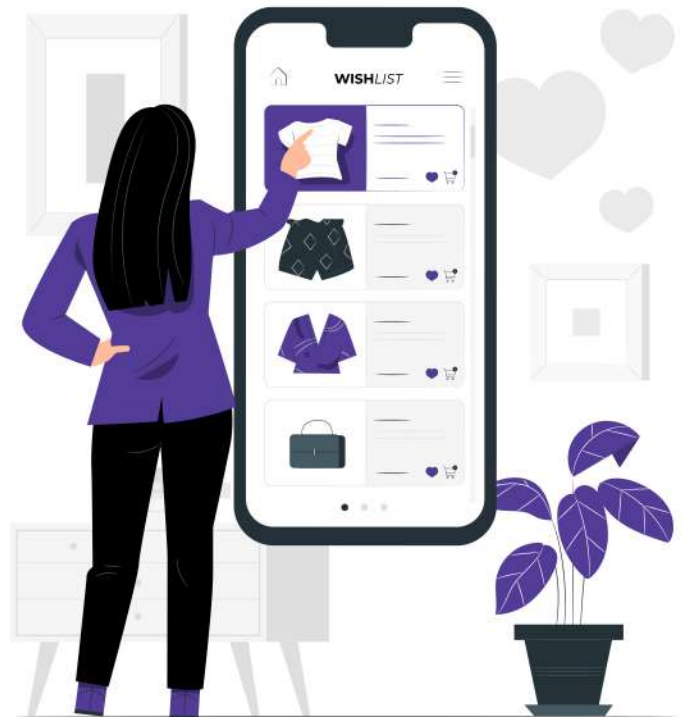


TOP CONSUMER EXPECTATIONS FROM BRANDS IN THE DIGITAL DOMAIN DURING COVID19 ERA

1.

Demand for a more personalized experience

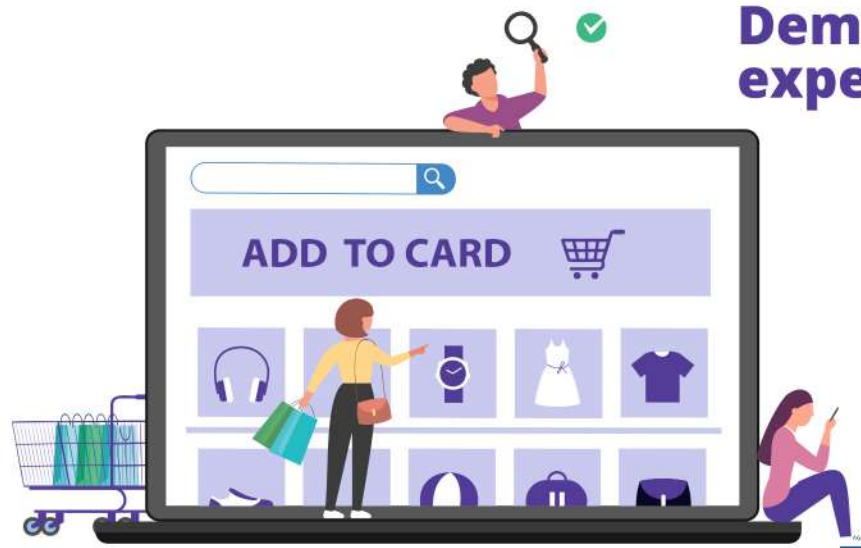
More and more consumers are demanding a personalized experience. Moreover, the consumers are expecting a higher standard of quality when it comes to brands offering a customized experience. Marketers need to tailor their communication keeping in mind their target audience's interests and expectations across the right channels. A study cites that approx. 66% of marketing insiders believe a majority of the interactions between brands and consumers will take place through AI within the next decade. Globally, 23.9% internet users have used voice assistants this year to find information. Thus, there is immense potential for digital assistants and brand bots to become the norm. Brands will need to keep up with this new consumer expectation by using automation and AI technology far more effectively.



2.

Demand for immersive experience

In a study, it was found that about 55% of shoppers usually use a brand's website at some stage in the consumer journey. Thus, brand websites play a crucial role along with online marketplaces when it comes to consumers'



buying journeys. One of the major expectations of using a brand website is an immersive experience, as cited by 41% of brand website shoppers.

Consumers are more motivated to use websites that are clutter-free and easy to navigate. In addition, they expect clear product specifications, especially in the form of photos or videos.

3.

Brands with conscience

With the pandemic causing major upheavals in economic as well as social domains, consumers are beginning to invest more in what has come to be known as solidarity spending. They now demand that brands stand for a purpose and adhere to social responsibility. In the pre-Covid19 era, social responsibility and empathy were “nice-to-have” features for brands or used as marketing gimmicks.

However, in this period, consumers expect brands to have inherent values that help to build a better society. It is now a mandate for brands to be socially responsible both online as well as offline.



4.

Demand for services to fit multi-purpose home lifestyle

The pandemic caused everyone to stay back home for work as well as all other aspects of life. Homes have turned into multifunctional hubs for business, work, fitness, and other activities. Most of these behaviors are expected to continue.

Based on a consumer

research study conducted by Accenture, 57% of respondents indicated that they would like to continue working from home even after the pandemic has passed. As a result, consumers expect brands to offer services that will seamlessly fit into the multi-purpose home lifestyle.



CONCLUSION

With the Covid19 pandemic, the digital media integration into consumers' daily lives increased multifold. From work to home life, there had been an increased use of digital media across all critical aspects of life. The utility of digital platforms will only see an upward curve than a downward decline.



Social distancing and lockdowns have ushered in new behaviors in the consumption models of consumers. Consumers have become more conscious about their consumption. They are looking for products and services that are sustainable for the

environment and their communities. Consumers are now asking for accountability and responsibility in brand messaging and communication. A majority of these new behavioral trends across the digital domain will continue to stick. Thus, marketers have to keep up with these changing trends to re-strategize and re-design their online marketing endeavors for the future.



As countries recover from the repercussions of the pandemic, there have been tremendous changes everywhere. There has been a tectonic shift in the digital transformation during the pandemic. During these times, only those who rethink their marketing strategies based on the new consumer behaviors will have a chance to perform better in terms of customer engagement, brand loyalty, revenue, and ROI in the long term.

SOURCES:

INTRODUCTION

(Source: Hootsuite Digital Trends 2021 Global Report Q4 update)

HOW CONSUMER BEHAVIOR SHIFTED DURING COVID19

(Source: McKinsey & Company How COVID-19 is changing consumer behavior –now and forever)

THE REPORT: KEY TRENDS IN CONSUMER BEHAVIOR DURING THE PANDEMIC

(Source: Swiss Re Institute Report on All change: how COVID-19 is transforming consumer behaviour)

PRIMARY CONSUMER BEHAVIORAL CHANGES EXPECTED TO STICK

(Source: Accenture report on COVID-19: How consumer behavior will be changed, PwC report on Evolving priorities: COVID-19 rapidly reshapes consumer behavior)

TOP CONSUMER EXPECTATIONS FROM BRANDS IN THE DIGITAL DOMAIN DURING COVID19 ERA

(Source: Hootsuite Digital Trends 2021 Global Report; Google, Ipsos, and Sixth Factor, Brand.com and Marketplace in the evolving online path to purchase, Jan. 2021.)

ABOUT US

Right now, the digital space is constantly evolving. We at Impulse Digital provide brands with the best creative solutions to stand out in this ever-changing digital landscape.

Backed with more than four years of expertise across various facets of digital marketing from Social Media Marketing to Pay Per Click services and Search Engine Optimization, our young and dynamic team consistently works on strategies to empower brands to have an expansive digital presence so that they can reach the right consumer at the right time.

With accuracy and transparency at the core of our values, we ensure the right mix of digital media tactics to help brands thrive, thus driving ROI in the offline space as well. We strive to offer solutions and strategies to enable brands to expand their potential in the digital space. At the same time, we make sure that brand communication resonates effectively and persistently with the right target audience.

If you want to know more about our work, visit us at
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